

“

”

VOLUME MEANS THE TOTAL NUMBER OF CONTRACTS BOUGHT OR SOLD FOR A SPECIFIC OPTION DURING A SPECIFIC TIME PERIOD.

For instance, a contract entered by two people would mean Open Interest = 1. While internally the two parties might have sold the contract to some one else who might have sold it to other parties too. Here, the open interest will remain to be 1, but the trading volume will be much higher.



THIS BUY-SELL WILL MAKE THE VOLUME = 10 BUT THE OPEN INTEREST WOULD STAY THE SAME = 1.